Note 7 —Income Taxes

U.S. Federal and State Taxes

As a master limited partnership, we are not subject to U.S. federal income taxes; rather the tax effect of our operations is passed through to our unitholders. In May 2006, the State of Texas enacted a new business tax (the "Texas Margin Tax") that replaced its franchise tax. In general, any entity that conducts business in Texas is subject to the Texas Margin Tax. Although the bill states that the margin tax is not an income tax, it has the characteristics of an income tax because it is determined by applying a tax rate to a base that considers both revenue and expenses. The Texas Margin Tax is effective for returns originally due on or after January 1, 2008. For calendar year end companies such as us, the margin tax is applied to 2007 activity.

Canadian Federal and Provincial Taxes

Certain of our Canadian subsidiaries (acquired through the Pacific merger in 2006) are corporations for Canadian tax purposes, thus their operations are subject to Canadian federal and provincial income taxes. The remainder of our Canadian operations is conducted through an operating limited partnership, which in the past was a flow-through entity for tax purposes. In June 2007, Canadian legislation was passed that imposes entity-level taxes on certain types of flow-through entities. The legislation refers to safe harbor guidelines that grandfather certain existing entities and delay the effective date of such legislation until 2011 provided that the entities do not exceed the normal growth guidelines. Although limited guidance is currently available, we believe that the legislation will apply to our Canadian partnerships. We believe that we are currently within the normal growth guidelines as defined in the legislation, which should delay the effective date for us until 2011. In conjunction with the passage of this legislation, we have recognized a net deferred income tax expense of approximately $10 million for the year ended December 31, 2007. This amount represents the estimated tax effect of temporary differences that exist at December 31, 2007 and are expected to reverse after the date that this legislation is effective for us based on the 28% weighted average tax rate that is expected to be in effect when these temporary differences reverse. Substantially all of this amount is related to differences between book basis and tax basis depreciation on applicable property and

equipment. If and when facts and circumstances change, we will reassess our position and record adjustments as necessary.

We file income tax returns in Canadian federal and various provincial jurisdictions. Generally, we are no longer subject to Canadian federal and provincial income tax examinations for years before 2004.

Tax Components

Components of the income tax expense are as follows (in millions):

	Year Ended December 31,	
	2007	2006
Current tax expense:		
State income tax	$ 1	$ —
Canadian federal and provincial income tax	2	—
Total current tax expense	$ 3	$ —
Deferred tax expense:		
State income tax	$ 1	$ —
Canadian federal and provincial income tax	$ 12	—
Total deferred tax expense	$ 13	$ —
Total income tax expense	$ 16	$ —

The difference between the statutory federal income tax rate and our effective tax expense is summarized as follows (in millions):

	Year Ended December 31,	
	2007	2006
Income before tax	$ 381	$ 285
Partnership earnings not subject to Canadian tax	(369)	(285)
	$ 12	$ —
Canadian federal and provincial corporate tax rate	32.1%	32.5%
Income tax at statutory rate	$ 4	$ —
Canadian corporation deferred tax as a result of book versus tax differences	(2)	—
State income tax (Texas Margin Tax; see above)	1	—
Current income tax expense	$ 3	$ —
State deferred income tax (Texas Margin Tax; see above)	$ 1	$ —
Canadian corporation deferred tax as a result of book versus tax differences (see above)	2	—
Flow-through entities deferred tax as a result of book versus tax differences	10	—
Deferred income tax expense	$ 13	$ —
Total income tax expense	$ 16	$ —

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Deferred tax assets and liabilities, which are included within other long-term liabilities and deferred credits in our consolidated balance sheet, result from the following (in millions):

	December 31,	
	2007	2006
Deferred tax assets:		
Book accruals in excess of current tax deductions	$ 5	$ 5
Net operating losses carried forward (which expire at various times from 2013 to 2015)	4	3
Total deferred tax assets	9	8
Deferred tax liabilities:		
Canadian partnership income subject to deferral	(4)	(3)
Property, plant and equipment in excess of tax values	(29)	(14)
Total deferred tax liabilities	(33)	(17)
Net deferred tax liabilities	$(24)	$ (9)

We adopted the provisions of FASB Interpretation No. 48, “Accounting for Uncertainty in Income Taxes” (“FIN 48”), an interpretation of SFAS No. 109 “Accounting for Income Taxes, ” on January 1, 2007. The adoption of FIN 48 had no material impact on our financial statements. We recognize interest and penalties related to uncertain tax positions in income tax expense. At December 31, 2007, we have no material assets, liabilities or accrued interest associated with uncertain tax positions.